QP Code: 26900522

MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (Honours) REGULAR EXAMINATION October 2026
Fifth SEMESTER
MG5DSESMG304 – FINANCIAL MANAGEMENT FOR SPORTS (2024 ADMISSION ONWARDS)

Duration: 2 hours Maximum Marks: 70

Part A - Short answer

Answer any 10 questions. Each question carries 2 marks

1. What is the role of finance in organizing a sports enterprise?

Ans: Finance plays an important role in organizing a sports enterprise by providing funds for infrastructure, equipment, staff salaries, training, competitions, and maintenance. It helps in budgeting, controlling expenses, and ensuring the smooth functioning and growth of the sports organization. Finance is also known as the bloodline of an organisation.

2. What is meant by Debit and Credit?

Ans: In accounting, a debit is an entry on the left side of an account ledger, and a credit is an entry on the right side.

Every business transaction uses double-entry bookkeeping, meaning every entry must have an equal and opposite credit for every debit so the books always balance.

Rules for Debit and Credit:

a. Personal Accounts: Debit the receiver, credit the giver.
b. Real Accounts: Debit what comes in, credit what goes out.
c. Nominal Accounts: Debit all expenses and losses, and credit all incomes and gains

3. Calculate current ratio if current is valued at 1,20,000 and Current liabilities amount to Rs. 1,90,000. Comment on the financial position

Ans:

Current Ratio=Current Liabilities/Current Assets

Calculation:

Current Ratio =1,20,000/1,90,000
=0.63:1
(or 63%)

4. Whys is closing stock a current asset.

Ans: Closing stock is considered a current asset because it consists of goods held for sale or use in the normal course of business and is generally expected to be sold or consumed within the operating cycle.

5. What is the purpose of financial forecasting?

Ans: Financial forecasting is the process of estimating future income, expenses, cash flows, and financial needs. Its purpose is to help an organization plan its finances, allocate resources, and make informed financial decisions.

6. What is Marginal Costing?

Ans: Marginal costing is a costing technique in which only variable costs are charged to products, while fixed costs are treated as period costs and written off against the contribution.

7. State any two advantages of budgeting.

Ans:

a. **Planning:** Budgeting helps an organization plan its income and expenditure in advance.
b. **Cost control:** It helps control unnecessary expenses and use financial resources efficiently.

(or any 2 relevant advantages)

8. What is meant by Assets?

Ans: Assets are economic resources owned or controlled by an individual or organization that have monetary value and are expected to provide future economic benefits.
Examples: Cash, buildings, equipment, furniture, and stock.

9. What is Financial Planning?

Ans: Financial planning is the process of estimating the financial requirements of an organization and deciding how to obtain and use funds effectively to achieve its objectives.

10. State any two causes of Overhead Cost Variance

Ans:

a. **Changes in overhead expenses:** Actual overhead costs may differ from budgeted costs due to changes in prices, electricity charges, or maintenance expenses.
b. **Changes in activity level:** Differences in production hours, working hours, or capacity utilization can cause overhead cost variance.
(or any 2 relevant causes)

11. What is an Investment Decision?

Ans: An investment decision is a financial decision regarding the allocation of funds to assets or projects with the aim of earning future returns. It includes decisions about purchasing equipment, buildings, or other long-term assets.

12. What is an Unfavourable Variance?

Ans: An unfavourable variance occurs when actual performance is worse than the budgeted or standard performance. For example, when actual expenses exceed budgeted expenses, it results in an unfavourable expense variance.

Part B- Short Essay

Answer any 6 questions. Each question carries 5 marks

13. Write journal entries for the following transactions: a) Purchased goods worth 30,000 on credit from Kerala Sports traders. b) Paid Rs 10, 000 to Kerala Sports traders.

Ans:

Particulars	Debit (₹)	Credit (₹)
Purchases A/c Dr.	30,000	
To Kerala Sports Traders A/c		30,000
(Being goods purchased on credit)		
Kerala Sports Traders A/c Dr.	10,000	
To Cash A/c		10,000
(Being cash paid to Kerala Sports Traders)		

14. In the books of GEM Enterprises, prepare Trading a/c and calculate Gross profit or loss: Opening stock- 25,000; Purchases- 30,000; Sales-45,000; Wages- 3,000 ; Freight Inwards- 1000; closing stock 10,000.

Ans: Trading Account of GEM Enterprises for the given period

Particulars (Dr.)	Amount (₹)	Particulars (Cr.)	Amount (₹)
To Opening Stock	25,000	By Sales	45,000
To Purchases	30,000	By Closing Stock	10,000
To Wages	3,000		
To Freight Inwards	1,000		

		Gross Loss c/d	**4,000**
Total	59,000	Total	59,000

Gross Loss **= ₹4,000.**

15. Differentiate between Stocks and Corporate Bonds.

Ans:

Stocks	Corporate Bonds
Stocks represent ownership in a company.	Corporate bonds represent loans given to a company.
Stockholders are shareholders or owners.	Bondholders are creditors of the company.
Returns may be received as dividends.	Returns are generally received as interest.
Returns are not guaranteed.	Interest is generally fixed according to the bond terms.
Stocks usually carry higher risk.	Corporate bonds generally carry lower risk than stocks, depending on the issuer.

16. Explain the advantages of Budgetary Control.

Ans: Budgetary control is a system of planning and controlling income and expenditure by comparing actual performance with budgeted performance.

Advantages:

1. **Planning:** Helps plan future income and expenditure.
2. **Cost control:** Reduces unnecessary expenses.
3. **Coordination:** Improves coordination between departments.
4. **Performance evaluation:** Helps compare actual results with budgeted targets.
5. **Efficient resource utilization:** Ensures the effective use of available resources.
6. **Decision-making:** Helps management make better financial decisions.

17. Explain the meaning and importance of Contribution.

Ans: Contribution is the difference between sales revenue and variable costs. It contributes towards covering fixed costs and earning profit.

Formula:

$$\text{Contribution} = \text{Sales} - \text{Variable Costs}$$

Importance:

1. Helps cover fixed costs.

2. Helps determine profit.
3. Assists in pricing decisions.
4. Helps calculate the break-even point.
5. Supports decisions about production and product selection.

18. Explain how proper Cash Management helps avoid cash shortages.

Ans: Proper cash management involves planning, monitoring, and controlling cash inflows and outflows.

It helps avoid cash shortages by:

1. Preparing cash budgets to estimate future cash needs.
2. Monitoring cash receipts and payments regularly.
3. Collecting payments from customers on time.
4. Controlling unnecessary expenditure.
5. Maintaining sufficient cash reserves for emergencies.
6. Arranging short-term finance in advance when required.

Thus, proper cash management ensures that an organization has enough cash to meet its daily expenses and financial obligations.

19. Explain the meaning of Short-Term Borrowing with examples.

Ans: Short-term borrowing refers to funds borrowed by an individual or organization that must generally be repaid within one year.

Examples:

a. Bank overdraft.
b. Short-term bank loan.
c. Trade credit from suppliers.
d. Working capital loan.

Short-term borrowing helps meet temporary cash shortages, pay salaries, purchase goods, and manage day-to-day business expenses.

20. Calculate the Present Value of ₹12,000 receivable after 2 years at 10% interest.

Ans:

- Future Value (FV) = ₹12,000
- Interest rate (r) = 10% = 0.10
- Time (n) = 2 years

$$PV = \frac{FV}{(1+r)^n}$$

$$PV = \frac{12,000}{(1+0.10)^2}$$

$$PV = \frac{12,000}{1.21}$$

$$PV = ₹9,917.36$$

Present Value = **₹9,917.36** (approximately ₹9,917).

Part C -Essay

Answer any 2 questions. Each question carries 10 marks

21. What is Standard Costing? Explain its advantages and limitations.

Ans: Standard costing is a costing technique in which predetermined costs are fixed for materials, labour, and overheads and compared with actual costs to identify variances.

Advantages

1. **Cost control:** Helps control and reduce costs.
2. **Performance evaluation:** Helps measure the efficiency of employees and departments.
3. **Budgeting:** Assists in preparing budgets and financial plans.
4. **Decision-making:** Helps management make better decisions.
5. **Variance analysis:** Helps identify differences between standard and actual costs.

Limitations

1. **Difficult to set standards:** Accurate standards can be difficult to establish.
2. **Time-consuming:** Setting and revising standards requires time and effort.
3. **Changing conditions:** Changes in prices and technology can make standards outdated.
4. **Not suitable for all businesses:** It may be difficult to apply in businesses producing varied or customized products.

22. In a shoe manufacturing company, the cost material is Rs. 100 per unit. Stitching charges -50 per unit. The fixed overhead cost amounts to Rs 3,000. Draw a Break-even chart and ascertain break-even point if on shoe is sold for Rs 200.

Ans: Given:

- Material cost per unit = ₹100
- Stitching charges per unit = ₹50

- Fixed overheads = ₹3,000
- Selling price per unit = ₹200

Step 1: Calculate Variable Cost

Variable cost per unit = Material cost + Stitching charges
= ₹100 + ₹50 = **₹150**

Step 2: Calculate Contribution

Contribution per unit = Selling price − Variable cost
= ₹200 − ₹150
= **₹50**

Step 3: Calculate Break-Even Point

Break-even point in units = Fixed Cost ÷ Contribution per unit

= ₹3,000 ÷ ₹50
= **60 units**

Step 4: Calculate Break-Even Sales

Break-even sales = 60 × ₹200 = **₹12,000**

Answer:

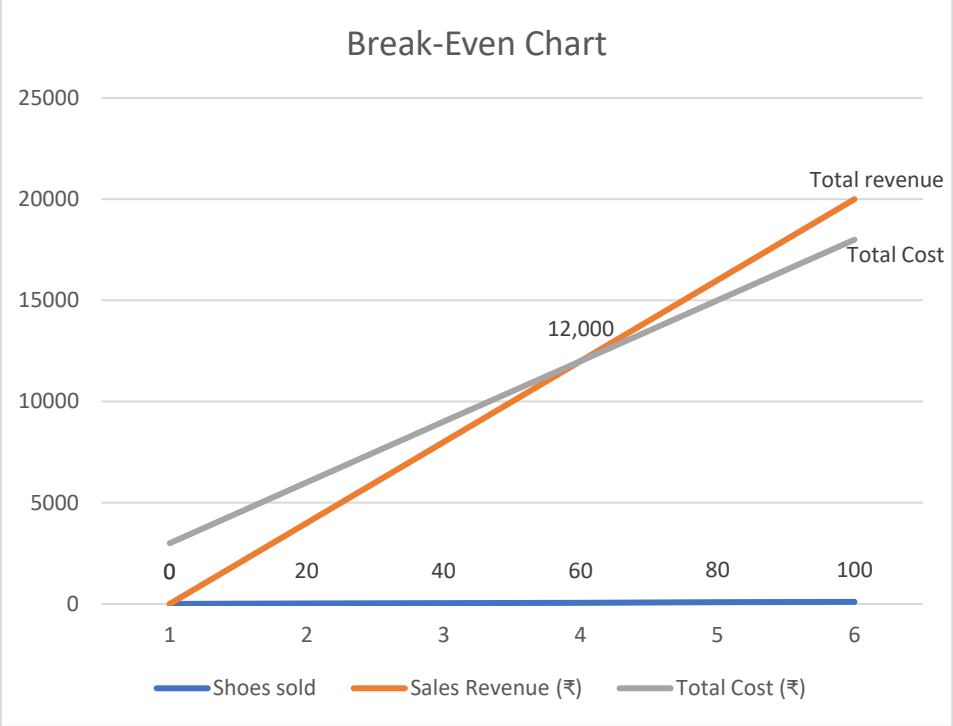
- Break-even point = **60 shoes**
- Break-even sales = **₹12,000**

At this point, total revenue equals total cost, so there is neither profit nor loss.

Step 5: Break-Even Chart (data for drawing)

Draw the chart with the number of shoes on the X-axis and cost/revenue in rupees on the Y-axis.

Shoes sold	Sales Revenue (₹)	Total Cost (₹)
0	0	3,000
20	4,000	6,000
40	8,000	9,000
60	**12,000**	**12,000**
80	16,000	15,000
100	20,000	18,000



23. In the books of KBF Enterprises, prepare Trading and P&L a/c and calculate Net profit or loss: Opening stock- 25,000; Purchases- 20,000; Sales-56,000; Wages- 3,700 ; Freight Inwards-1300; closing stock 15,000. Rent- 5,500; Salary-25,000, Commission Received-11,000; Electricity bill-1500.

Ans:

Trading and Profit & Loss Accounts of KBF Enterprises

Particulars (Dr.)	Amount (₹)	Particulars (Cr.)	Amount (₹)
To Opening Stock	25,000	By Sales	56,000
To Purchases	20,000	By Closing Stock	15,000
To Wages	3,700		
To Freight Inwards	1,300		
To Gross Profit c/d	21,000		
Total	**71,000**	Total	**71,000**
To Rent	5,500	By Gross Profit b/d	21,000
To Salary	25,000	By Commission Received	11,000
To Electricity Bill	1,500		
Total	**32,000**	Total	**32,000**

In this case, the period ended **without profit or loss.**

i.e Net Profit =0 ; Net Loss=0.

24. Write journal entries and prepare ledger accounts in the books of Future Sportswear Ltd.

a) Purchased goods worth Rs 5,000 from Success Garments on credit.

b) Purchased goods worth Rs 1,000 on cash.

c) Sold goods to Kerala FC worth Rs 5,500 on credit.

d) Received Rs 5,500 from Kerala FC. Paid Rs 5,000 to Success Garments.

Ans:

Journal entries in the books of Future Sportswear Ltd.

Date	Particulars	Debit (₹)	Credit (₹)
	Purchases A/c Dr. To Success Garments A/c *(Goods purchased on credit)*	5,000	5,000
	Purchases A/c Dr. To Cash A/c *(Goods purchased for cash)*	1,000	1,000
	Kerala FC A/c Dr. To Sales A/c *(Goods sold on credit)*	5,500	5,500
	Cash A/c Dr. To Kerala FC A/c *(Cash received from Kerala FC)*	5,500	5,500
	Success Garments A/c Dr. To Cash A/c *(Payment made to Success Garments)*	5,000	5,000

Ledger accounts in the books of Future Sportswear Ltd.

Purchases Account

Debit side (Dr.)	Amount (₹)	Credit side (Cr.)	Amount (₹)
To Success Garments	5,000	By Trading A/c	6,000
To Cash	1,000		
Total	**6,000**	**Total**	**6,000**

Success Garments Account

Debit side (Dr.)	Amount (₹)	Credit side (Cr.)	Amount (₹)
To Cash	5,000	By Purchases	5,000
Total	**5,000**	**Total**	**5,000**

Kerala FC Account

Debit side (Dr.)	Amount (₹)	Credit side (Cr.)	Amount (₹)
To Sales	5,500	By Cash	5,500
Total	**5,500**	**Total**	**5,500**

Sales Account

Debit side (Dr.)	Amount (₹)	Credit side (Cr.)	Amount (₹)
To Trading A/c	5,500	By Kerala FC	5,500
Total	**5,500**	**Total**	**5,500**

Cash Account

Debit side (Dr.)	Amount (₹)	Credit side (Cr.)	Amount (₹)
To Kerala FC	5,500	By Purchases	1,000
		By Success Garments	5,000
To Balance c/d	500		
Total	**6,000**	**Total**	**6,000**